IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.9/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION
IN THE MATTER OF
EMBASSY PROPERTY DEVELOPMENTS PRIVATE LIMITED

Order delivered on: 20th March, 2018

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s): P.Sriram & Associates
Practising Company Secretary
10/17, Anandham Colony, South
Canal Bank Road,
Mandaveli, Chennai-600028

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 13.2.2018

Embassy Property Developments Private Limited
I Floor, Embassy Point,
#150, Infantry Road,
Bengaluru-560001

ORDER

This Application is filed on behalf of the Applicant Company under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying to direct that the meeting of Equity Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the Applicant Company be held for considering the scheme of Amalgamation, where under DSRK Holdings (Chennai) Private Limited (Transferor Company) is proposed to be merged with Embassy Property Developments Private Limited (Applicant/Transferee Company). The Scheme of Amalgamation is shown as **Annexure-A**.

The averments made in the Company Application are briefly described hereunder:-

The Applicant seeks an order to direct that the meeting of Equity Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the Applicant Company be held for considering the scheme of Amalgamation where under

DSRK Holdings (Chennai) Private Limited (Transferor Company) is proposed to be merged with Embassy Property Developments Private Limited (Applicant/Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-D**.

Application is filed on behalf of the applicant company alleging that the Applicant Company/Transferee Company was incorporated on 30th July, 1996 under the name and style of Virwani Builders Private Limited. Subsequently on 21st March, 2002 the name of the company was changed to Dynasty Developers Private Limited. Again on 1st April, 2010 the name of the company was changed to Embassy Property Developers Private Limited. Subsequently on 25th May, 2010 the company was converted from a private limited company to public company and the name of the company was changed to Embassy Property Developments Limited. Again on 9th January, 2013 the company was converted from public company to private limited company and the name of the company was changed to Embassy Property Developments Private Limited. The Registered office of the Transferee Company is situated at I Floor, Embassy Point, #150, Infantry Road, Bengaluru-560001.

The main objects of the Applicant Company/Transferee Company is to acquire land, building and other immoveable properties or any interest therein by purchase or otherwise and to carry on all or any other business of designing, planning, managing, developing and/or construction of apartments, houses, factory buildings, godowns, warehouses, hotels, farm houses, health clubs, holiday resorts, club house, industrial sheds, housing colonies, public buildings, multistored buildings, schools, colleges, community halls, shopping complex, dams, bridges, canals, power projects and playgrounds, tennis court and/or to carry on business as civil, mechanical, electrical, water supply and sanitary contractors, builders, real estate agents, real estate developers, suppliers of various services required for residential, commercial, industrial and other units. The copy of Memorandum and Articles of Association of the Transferee Company is shown as **Annexure-A1 to A7.**

The latest authorised share capital of the Applicant Company/Transferee Company is Rs.13,00,00,00,000/- divided into 1,30,00,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Transferee Company is Rs.9,74,97,90,000/- divided into 97,49,79,000 Equity Shares of Rs.10/- each of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-A8**.

It is further stated that, the Board of Directors of the Transferor Company have approved and adopted a Scheme of Amalgamation at their meeting held on 26th December,

2017 by virtue of which DSRK Holdings (Chennai) Private Limited (Transferor Company) is proposed to be merged with Embassy Property Developments Private Limited (Applicant/Transferee Company) subject to confirmation. Copy of the Board Resolution of Transferor Company dated 26th December, 2017approving and adopting the Scheme of Amalgamation are shown as **Annexure-C**.

It is further averred in the scheme that the Board of Directors of the Transferor Company and Transferee Company are of the opinion that the arrangement would result in following benefits:

1. Greater integration, greater financial strength and flexibility for the amalgamated entity, which would result in maximising overall shareholder value.
2. The amalgamation would lead to greater and efficient use of infrastructure facilities and optimum utilisation of the available resources.

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company/ Transferee Company has certified that there are seven equity shareholders in the Applicant Company/ Transferee Company **shown as Annexure-E.**

It is further stated that there are fifteen Secured Creditors in the Applicant Company/ Transferee Company as on 31st December, 2017 as certified by the Chartered Accountant **shown as Annexure-F.**

It is further stated that there are twelve Unsecured Loan Creditors in the Applicant Company/ Transferee Company as on 31st December, 2017 as certified by the Chartered Accountant **shown as Annexure-G.**

It is further stated that there are 503 Unsecured Trade Creditors in the Applicant Company/ Transferee Company as on 31st December, 2017 as certified by the Chartered Accountant **shown as Annexure-H.**

The Applicant Company is seeking an order to direct that the meeting of Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the Applicant Company be held for approving the scheme of amalgamation of DSRK Holdings (Chennai) Private Limited (Transferor Company) with Embassy Property Developers Private Limited (Applicant/Transferee Company) shown as **Annexure-D.**

After hearing the counsel and after perusing the documents filed, we pass the following order.

The meeting of the Shareholders of the Applicant Company be convened and held at I Floor, Embassy Point, #150, Infantry Road, Bengaluru-560001 on Wednesday the 2nd May, 2018 at 11:00 A.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of DSRK Holdings (Chennai) Private Limited (Transferor Company) with Embassy Property Developments Private Limited (Applicant/Transferee Company).

Mr.Ramakrishnan P.R, failing him Mr.Vijayakumar Dharmalingam as proposed by the Applicant Company is appointed as Chairperson and Mr.Nagarjunn Y G, Company Secretary in Practice as Scrutinizer for the Meeting of Shareholders. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meeting of Shareholders.

The quorum for the Meeting of Shareholders is two as proposed by the Applicant Company.

The Notice of the Meeting of Shareholders shall be published in an English Daily "The Hindu" and in Kannada Daily "Kannada Prabha".

The meeting of the Secured Creditors of the Applicant Company be convened and held at I Floor, Embassy Point, #150, Infantry Road, Bengaluru-560001 on Wednesday the 2nd May, 2018 at 12:00 Noon. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of DSRK Holdings (Chennai) Private Limited (Transferor Company) with Embassy Property Developments Private Limited (Applicant/Transferee Company).

Mr.Ramakrishnan P.R, failing him Mr.Vijayakumar Dharmalingam as proposed by the Applicant Company is appointed as Chairperson and Mr.Nagarjunn Y G, Company Secretary in Practice as Scrutinizer for the Meeting of Secured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meeting of Secured Creditors.

The quorum for the Meeting of Secured Creditors is two as proposed by the Applicant Company.

The Notice of the Meeting of Secured Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Kannada Prabha".

The meeting of the Unsecured Loan Creditors of the Applicant Company be convened and held at I Floor, Embassy Point, #150, Infantry Road, Bengaluru-560001 on Wednesday the 2nd May, 2018 at 2:00 P.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of DSRK Holdings (Chennai) Private Limited (Transferor Company) with Embassy Property Developments Private Limited (Applicant/Transferee Company).

Mr.Ramakrishnan P.R, failing him Mr.Vijayakumar Dharmalingam as proposed by the Applicant Company is appointed as Chairperson and Mr.Nagarjunn Y G, Company Secretary in Practice as Scrutinizer for the Meeting of Unsecured Loan Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meeting of Unsecured Loan Creditors.

The quorum for the Meeting of Unsecured Loan Creditors is two as proposed by the Applicant Company.

The Notice of the Meeting of Unsecured Loan Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Kannada Prabha".

The meeting of the Unsecured Trade Creditors of the Applicant Company be convened and held at I Floor, Embassy Point, #150, Infantry Road, Bengaluru-560001 on Wednesday the 2nd May, 2018 at 3:00 P.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of DSRK Holdings (Chennai) Private Limited (Transferor Company) with Embassy Property Developments Private Limited (Applicant/Transferee Company).

Mr.Ramakrishnan P.R, failing him Mr.Vijayakumar Dharmalingam as proposed by the Applicant Company is appointed as Chairperson and Mr.Nagarjunn Y G, Company Secretary in Practice as Scrutinizer for the Meeting of Unsecured Trade Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meeting of Unsecured Trade Creditors.

The quorum for the Meeting of Unsecured Trade Creditors is fifteen as proposed by the Applicant Company.

The Notice of the Meeting of Unsecured Trade Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Kannada Prabha".

The Applicant Company or its authorized signatory is directed to issue notice(s) to Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of Applicant Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of scheme of amalgamation, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

The Applicant Company is directed at least 30 clear days before the Meeting of the Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the Applicant Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Arrangement and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

The Applicant Company to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Regional Director within 30 days of the date of receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Registrar of Companies, Karnataka within 30 days of the date of receipt of the notice it will be presumed that Registrar of Companies, Karnataka has no

objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Income Tax Authority, within whose jurisdiction that Applicant Company's Assessment are made, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Income Tax Authority within 30 days of the date of receipt of the notice it will be presumed that Income Tax Authority has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the other Sectoral Regulators or Authorities if applicable, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other Sectoral Regulators or Authorities within 30 days of the date of receipt of the notice it will be presumed that the other Sectoral Regulators or Authorities has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In any eventuality when the Applicant Company approach this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Arrangement to put forth their contentions before the Tribunal.

20/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

20/3/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL